B. Amendments to Rule 14a-2(b): Conflicts of Interest

1. Proposed Amendments

Over the years, many observers have noted that some proxy voting advice businesses engage in activities or have relationships that could reasonably be expected to affect the objectivity or reliability of their advice.[182] Examples of circumstances where the interests of a proxy voting advice business may diverge materially from the interests of the clients who utilize their advice include:

- A proxy voting advice business providing voting advice to its clients on proposals to be considered at the annual meeting of a registrant while the proxy voting advice business also earns fees (or is seeking to earn fees) from that registrant for providing advice on corporate governance and compensation policies;[183]
- A proxy voting advice business providing voting advice on a matter in which its affiliates or one or more of its clients has a material interest, such as a business transaction or a shareholder proposal put forward by or actively supported by that client or group of clients;
- A proxy voting advice business providing ratings to institutional investors of registrants' corporate governance practices while at the same time consulting for, or seeking to consult with, registrants that are the subject of the ratings for a fee to help increase their corporate governance scores;
- A proxy voting advice business providing voting advice with respect to a registrant's shareholder meeting while affiliates of the proxy voting advice business hold a significant ownership interest in the registrant, sit on the registrant's board of directors,

[182] *See* Proposing Release at 66525 n.73.

[183] *See id.* at n.74.

or have relationships with a shareholder presenting a proposal covered by the proxy voting advice; and

- A proxy voting advice business providing voting advice on a matter on which it or its affiliates have provided advice to a registrant, a proponent, or other party regarding how to structure or present the matter or the business terms to be offered in such matter.

These and similar types of circumstances create a risk that the proxy voting advice business's voting advice could be influenced by the business's own interests, which may call into question the objectivity and independence of its advice.[184] The clients of the proxy voting advice business would generally need to be informed of such activities and relationships in order to be in a position to reasonably assess the impact and materiality of any actual or potential conflicts of interest with respect to the proxy voting advice they receive.[185] If they do not have access to sufficiently detailed disclosure about the full extent and nature of any conflicts that are relevant to the voting advice, and any measures taken to mitigate such conflicts, these clients may not have sufficient information to reasonably understand and adequately assess these potential conflicts and remedial measures when they evaluate the voting advice and make their voting determinations.[186] A range of proxy voting advice business clients may find it important to have sufficient information to support their understanding and assessment, including, for example, investment advisers that undertake proxy voting duties on a client's behalf.[187]

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[184] *See id.* at n.75.

[185] *See id.* at n.72.

[186] *See id.* at 66526 n.78 and *infra* note 193.

[187] Commission Guidance on Proxy Voting Responsibilities at 47425 ("[A]n investment adviser's decision regarding whether to retain a proxy advisory firm should also include a reasonable review of the proxy advisory firm's policies and procedures regarding how it identifies and addresses conflicts of interest.").

In light of these concerns, the Commission proposed amendments to further ensure that sufficient information about material conflicts of interest would be provided consistently across proxy voting advice businesses and in a manner readily accessible to the clients of the proxy voting advice businesses. Accordingly, the proposed amendments included a requirement that persons who provide proxy voting advice,[188] in order to rely on the exemptions contained in Rule 14a-2(b)(1) and (b)(3), must include in such advice (and in any electronic medium used to deliver the advice) the following disclosures specifically tailored to proxy voting advice businesses and the nature of their conflicts of interest:

- Any material interests, direct or indirect, of the proxy voting advice business (or its affiliates[189]) in the matter or parties concerning which it is providing the advice;
- Any material transaction or relationship between the proxy voting advice business (or its affiliates) and (i) the registrant (or any of the registrant's affiliates[190]), (ii) another soliciting person (or its affiliates), or (iii) a shareholder proponent (or its affiliates), in connection with the matter covered by the proxy voting advice;
- Any other information regarding the interest, transaction, or relationship of the proxy voting advice business (or its affiliates) that is material to assessing the

[188] Consistent with the Commission's proposed amendments to the definition of solicitation under the proxy rules, the requirement would apply only to proxy voting advice falling within the scope of amended Rule 14a-1(l)(1)(iii)(A). *See supra* Section II.A., "Codification of Commission's Interpretation of Solicitation."

[189] The term "affiliate," as used in proposed Rule 14a-2(b)(9)(i), would have the meaning specified in Exchange Act Rule 12b-2.

[190] The Commission recognized that proxy voting advice businesses may not necessarily have access to the information needed to determine whether an entity is an affiliate of a registrant, another soliciting person, or the shareholder proponent. Therefore, as proposed, proxy voting advice businesses would only be required to use publicly-available information to determine whether an entity is an affiliate of registrants, other soliciting persons, or shareholder proponents.

objectivity of the proxy voting advice in light of the circumstances of the particular interest, transaction, or relationship; and

- Any policies and procedures used to identify, as well as the steps taken to address, any such material conflicts of interest arising from such interest, transaction, or relationship.[191]

In the Proposing Release, the Commission stated that the disclosures provided under these provisions should be sufficiently detailed so that clients of proxy voting advice businesses could understand the nature and scope of the interest, transaction, or relationship to appropriately assess the objectivity and reliability of the proxy voting advice they receive.[192] This might include, for example, the identities of the parties or affiliates involved in the interest, transaction, or relationship triggering the proposed disclosure requirement and, when necessary for the client to adequately assess the potential effects of the conflict of interest, the approximate dollar amount involved in the interest, transaction, or relationship. Boilerplate language, including language stating that "such relationships or interests may or may not exist," would be insufficient for purposes of satisfying this condition to the exemptions.

2. Comments Received

Many commenters agreed with the general principle that providing clients of proxy voting advice businesses with adequate conflicts of interest disclosure helps to ensure transparency and fairness in the voting process and is vital to the clients' ability to make informed voting decisions.[193] Some commenters expressed the view that proxy voting advice businesses currently

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[191] This would include a description of the material features of the policies and procedures that are necessary to understand and evaluate them. Examples include the types of transactions or relationships covered by the policies and procedures and the persons responsible for administering these policies and procedures.

[192] Proposing Release at 66526.

[193] *See* letters from commenters generally opposed to the proposals, *e.g.*, CalSTRS ("We agree that conflict of interest disclosure is important for a well-functioning and unbiased proxy voting system. Investors should be informed when

do not satisfactorily mitigate the risk that conflicts of interest may impair their objectivity and, consequently, that their ability to provide impartial voting advice is often undermined by the prevalence of conflicts.[194]

Some commenters opposed the proposed amendments,[195] asserting that additional conflict disclosure requirements were not justified[196] and, therefore, would impose unnecessary additional costs and burdens on proxy voting advice businesses and their clients.[197] These commenters

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there may be potential conflicts of interest that could affect proxy advisor recommendations. Investors need confidence that the research being considered when voting is unbiased and fact based…."); CFA Institute I; CII IV; ISS; and the IAC Recommendation. *See also* letters from commenters generally supporting the proposals, *e.g.*, ACCF ("Investors need to be fully informed of the biases and conflicts inherent in [the] powerful vote recommendations [of proxy voting advice businesses]."); BRT ("…conflicts of interest that may arise for proxy advisors should be disclosed in order for their clients to assess for themselves the effect and materiality of any actual or potential conflicts of interest with respect to a voting recommendation …We agree with the Commission's assessment that institutional investors and investment advisers who rely on proxy advisors for voting guidance cannot identify potential risks if they do not have access to sufficiently detailed disclosure about the full extent and nature of any conflicts that are relevant to the voting advice they receive."); Exxon Mobil Corp., (Feb. 3, 2020) ("ExxonMobil"); Tao Li, Ph.D., Assistant Professor of Finance, University of Florida (Jan. 30, 2020) ("Prof. Li") ("…it remains imperative that market participants are aware of any potential conflicts of interest within the industry and whether those conflicts are impeding the role of proxy advisors as independent providers of information and recommendations."); NAM; Nareit; Nasdaq; SCG; CCMC.

[194] *See, e.g.,* letters from ACCF (citing its May 2018 research paper: "The Conflicted Role of Proxy Advisors"); BIO; BRT; CEC; CCMC; ExxonMobil; Jason Ward, Managing Partner, Amrop Industrial Search LLC (Feb. 3, 2020) ("J. Ward"); NAM; Nareit; Nasdaq; SCG. To substantiate their claims that conflicts of interest are pervasive in proxy voting advice, several commenters pointed to the results of various opinion surveys of selected companies and individuals reflecting significant concerns about conflicts of interest. *See, e.g.,* letters from CCMC; Ashley Baker, Director of Public Policy, The Committee for Justice, (Feb. 3, 2020) ("Committee for Justice"); J. Ward; Nareit; Nasdaq; P. Mahoney and J.W. Verret; SCG; Seven Corners Capital Management, LLC (Apr. 8, 2020) ("Seven Corners").

[195] *See, e.g.,* letters from CalPERS; Canadian Governance Coalition; CII IV; JoAnn Hanson, President and CEO, Church Investment Group (Jan. 29, 2020) ("Church Investment Group"); Colorado PERA; Henry Beck, Maine State Treasurer, et al., Democratic Treasurers Association (Jan. 30, 2020) ("DTA"); Holly A. Testa, Director, Shareowner Engagement, First Affirmative Financial Network (Jan. 3, 2020) ("First Affirmative"); Jeffery W. Perkins, Executive Director, Friends Fiduciary Corporation (Feb. 2, 2020) ("Friends"); Glass Lewis II; ISS; Interfaith Center II; J. Coates, Professor of Law and Economics, Harvard Law School, and Barbara Roper, Consumer Federation of America (Jan. 30, 2020) ("Prof. Coates"); New York Comptroller II; PIAC II; Public Retirement Systems; ValueEdge I.

[196] *See, e.g.,* letters from Colorado PERA ("PERA utilizes research reports from Glass Lewis and ISS to assist with its evaluation of items on a proxy ballot. PERA has analyzed each firm's disclosures and management of conflicts of interest. We concluded that the potential conflicts are harmless to the independence of the research, would not sway an investor's opinion, and the existing firewalls to prevent contamination of objectivity -- where applicable to specific proxy advisors -- are sufficient"); CalSTRS; Glass Lewis II; ISS.

[197] *See, e.g.,* letters from CalPERS; Canadian Governance Coalition; CII IV; Church Investment Group; DTA; First Affirmative; Friends; Glass Lewis II; ISS; Interfaith Center II; New York Comptroller II; Colorado PERA; PIAC II; Prof. Coates; Public Retirement Systems; ValueEdge I.

challenged, among other things, the claims that proxy voting advice businesses' conflicts of interest disclosures were materially deficient,[198] and contended that the businesses' existing policies and procedures (such as their disclosure practices and maintenance of internal firewalls to guard against conflicts) adequately addressed the risk of conflicts.[199] In support of this view, commenters noted that the predominant opinion among the businesses' own clients was that the measures taken to mitigate conflicts of interest were satisfactory.[200] Moreover, commenters argued that adding new disclosure requirements to the proxy rules was unnecessary in light of existing provisions in the Advisers Act and in Rule 14a-2(b) under the Exchange Act that already address conflicts of interest, as well as inappropriate because the Advisers Act generally governs the activities of investment advisers, including proxy voting advice businesses.[201] In addition, some commenters believed that the proposed conflicts disclosure requirements would likely compromise the internal firewalls designed by proxy voting advice businesses to mitigate their

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[198] *See, e.g.,* letters from CalPERS ("We see no evidence that conflicts of interest with proxy advisors have led to voting advice that conflicts with our voting policies … It is not clear to what extent the SEC has reviewed all of the disclosures that proxy voting advice businesses already provide."); CalSTRS; CII IV; Glass Lewis II; ISS; New York Comptroller II; Colorado PERA; PIAC II; ValueEdge I.

[199] *See, e.g.,* letters from CalSTRS (stating that while it is generally supportive of conflict of interest disclosure, it does "not believe the SEC needs to create a new regulatory structure to enforce such [conflict of interest] disclosure" and its general belief "that proxy advisors are currently providing adequate disclosures that meet the needs of investors, and any modifications to disclosures can be enforced through existing SEC authority."); ISS; Glass Lewis II; CalPERS; New York Comptroller II.

[200] *See, e.g.,* letters from ISS ("…the fact that the most vocal critics of ISS in this area [regarding conflicts of interest] are those who speak on behalf of corporate management, and not the investors who rely on ISS' research and vote recommendations, indicates that ISS is managing this potential conflict extremely well."); CalPERS; CalSTRS; Glass Lewis II; New York Comptroller II.

[201] *See, e.g.,* letter from ISS (asserting that "the proposal ignores the relevance of the Advisers Act regime and makes no attempt to explain why this framework is inadequate to address the Commission's purported concerns about proxy advice"). As noted above, it is not unusual for a registrant under one provision of the securities laws to be subject to other provisions of the securities laws when engaging in conduct that falls within the other provisions. *See supra* notes 41 through 60 and accompanying text for a discussion of why we believe it is appropriate that proxy voting advice businesses be subject to applicable rules under Section 14(a) when they provide proxy voting advice, regardless of whether they are registered under the Advisers Act.

risk of conflicts,[202] and could have a detrimental effect on competition in an industry that is already cost-prohibitive for new entrants.[203]

Both those supporting and those opposing the proposed Rule 14a-2(b)(9)(i) recommended modifications to the proposed new disclosure requirements,[204] ranging from very specific suggestions intended to standardize the presentation of conflicts disclosures,[205] expand the breadth of required disclosure,[206] and capture certain detailed information,[207] to those that were less prescriptive and leaned toward a more principles-based approach,[208] with an emphasis on

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[202] For example, according to ISS, it maintains a firewall between ISS Global Research, its core institutional business, and ISS Corporate Solutions, Inc. ("ICS"), a subsidiary which provides governance tools and services to corporate issuer clients. In its comment letter, ISS states that "a key goal of the firewall is to keep the ISS Global Research team from knowing the identity of ICS' clients," which could be jeopardized by disclosure of the details of ICS' business and potentially result in vote recommendations that are biased in favor of corporate management. As part of its conflicts of interest policies, Glass Lewis blocks its research analysts from any access to the holdings, custom policies and/or voting activity of its two co-owners, the Ontario Teachers' Pension Plan Board and Alberta Investment Management Corp. *See e.g.,* letters from CII IV; Glass Lewis II; ISS. *See also* IAC Recommendation.

[203] *See, e.g.,* letters from CalPERS; CII IV; ISS; PERA ("This disclosure of … anything that may potentially be deemed a conflict of interest could result in advisors losing their competitive advantage."); and the IAC Recommendation. *See also* letter from CFA Institute I ("We do not object to such increased transparency as long as these further disclosures do not compromise the competitiveness of a proxy adviser by forcing them to divulge trade secrets or other proprietary information, the disclosure of which would be deleterious to the specific adviser").

[204] *See, e.g.,* letters from Lynette C. Fallon, EVP HR/Legal and General Counsel, Axcelis Technologies, Inc. (Jan. 20, 2020) ("Axcelis"); Baillie Gifford; BRT; CEC; CII IV; CIRCA; Exxon Mobil; Garmin; Glass Lewis II; ISS; Jonathan Chanis, New Tide Asset Management, LLC (Jan. 30, 2020) ("J. Chanis"); Mylan; Ann McGinnis, Co-President et al., Los Angeles Chapter, National Investor Relations Institute, Los Angeles Chapter (Feb. 3, 2020) ("NIRI-LA"); David Erickson, President, et. al., National Investor Relations Institute, Orange County Chapter (Feb. 4, 2020) ("NIRI-OC"); June M. Vecellio, President, and James B. Bragg, Advocacy Ambassador, National Investor Relations Institute, Connecticut/Westchester County Chapter (Feb. 6, 2020) ("NIRI-Westchester"); Nasdaq; Prof. Li; SCG; Seven Corners; SES; Linda Moore, President and CEO, TechNet, (Feb. 3, 2020) ("TechNet").

[205] *See, e.g.,* letters from Nasdaq; NIRI-LA; NIRI-OC; NIRI-WC; TechNet (calling for conflicts of interest to be disclosed on the front page of proxy voting advice).

[206] *See, e.g.,* letters from ExxonMobil (supporting a requirement for specific disclosures about proxy voting advice businesses' specialty reports that are driven by goals other than maximizing shareholder value); SCG (recommending that proxy voting advice businesses be required to disclose "any interest, transaction or relationship that may present a conflict of interest, and the dollar amount thereof").

[207] *See, e.g.,* letters from ExxonMobil (recommending that required conflict disclosures cover details similar to the requirements of Item 404(a) of Regulation S-K and enumerating a list of specific items that should be addressed by disclosure); PIRC (suggesting that disclosure of specific amounts of compensation received from various clients could be helpful).

[208] *See, e.g.,* letters from Baillie Gifford (cautioning that requiring disclosure of policies and procedures would lead to boilerplate disclosure); CII IV (asserting that allowing proxy voting advice businesses to choose the vehicle by which

materiality.[209] Other commenters recommended certain substantive changes that would have widened the scope of the proposed amendments beyond conflicts disclosure.[210]

3. Final Amendments

We are adopting amendments to Rule 14a-2(b) to require that persons who provide proxy voting advice in reliance on the exemptions in either Rule 14a-2(b)(1) or (b)(3) must include in their voting advice to clients the conflicts of interest disclosure specified in new Rule 14a-2(b)(9)(i). The Commission is adopting these amendments substantially as proposed, but with certain modifications as discussed below, to clarify and streamline the rule in response to commenters' concerns and suggestions.

As adopted, Rule 14a-2(b)(9)(i) establishes a principles-based requirement, based on a standard of materiality, that will apply to all proxy voting advice that is provided in reliance on the exemptions in Rules 14a-2(b)(1) and (b)(3). Contrary to the views of some commenters, we do not see this requirement as imposing an entirely new regulatory regime or structure.[211] Rather, we view Rule 14a-2(b)(9)(i) as enhancing the existing conflicts of interest disclosures that proxy voting advice businesses currently provide in order to rely on the exemptions from the proxy rules' information and filing requirements. By articulating a standard for disclosure that focuses

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they disclose conflicts of interest would mitigate the widespread distribution of information that could affect competitive or other concerns); CIRCA (stating that a principles-based approach "would prevent proxy advisors from giving boilerplate disclosures … without creating unprecedented and excessive burdens."); ISS (stating that "there is no reason to treat conflict disclosure by proxy advisers any differently from the way conflict disclosure by portfolio managers or any other type of investment adviser is treated."); S. Holmes.

[209] *See, e.g.,* letter from Baillie Gifford.

[210] *See, e.g.,* letters from Garmin (recommending that the Commission require proxy voting advice businesses to separate their proxy advisory businesses from their consulting businesses); J. Chanis (recommending that the Commission prohibit proxy voting advice businesses from also providing consulting services to companies that are the subject of their proxy voting advice).

[211] *See, e.g.,* letters from CalSTRS ([W]e do not believe the SEC needs to create a new regulatory structure to enforce such disclosure."); Glass Lewis II ("Accordingly, this issue [of conflicts of interest disclosure] does not present a basis for a wholesale new and burdensome regulatory regime….").

on information that would be material to assessing the objectivity of the proxy voting advice, the new rule is expected to result in disclosure that is more tailored and comprehensive than would be required under either Rule 14a-2(b)(1) or (b)(3).[212] Given the significant role played by proxy voting advice businesses in the voting process, we believe that the articulation of clear minimum disclosure standards is appropriate to better ensure transparency, accuracy, and completeness in the information provided, as well as the integrity of the proxy voting process. Rule 14a-2(b)(9)(i) is intended to harmonize the conflicts of interest disclosure that proxy voting advice businesses provide to their clients, helping to ensure that sufficient information about material conflicts of interest is disclosed more consistently across proxy voting advice businesses and in a manner readily accessible to the clients of such businesses. As a consequence, we believe the rule will enable clients of proxy voting advice businesses to make more informed voting decisions, including with regard to how proxy voting advice businesses identify and address conflicts of interest on a business-specific and relative basis and help in Commission oversight of the proxy voting process.[213]

Although some proxy voting advice businesses and others have asserted that the businesses' existing practices and procedures adequately address conflicts of interest concerns,[214]

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[212] The exemption in Rule 14a-2(b)(1) does not currently require conflicts of interest disclosure, while Rule 14a-2(b)(3)(ii) requires disclosure of "any significant relationship with the registrant or any of its affiliates, or a security holder proponent of the matter on which advice is given, as well as any material interests in such matter." 17 CFR 240.14a-2(b)(3)(ii). It should be noted that both exemptions were adopted by the Commission before proxy voting advice businesses played the significant role that they now do in the proxy voting process and in the voting decisions of investment advisers and institutional investors.

[213] Currently, proxy voting advice businesses differ in how they disclose their conflicts of interest. For example, ISS discloses the details of its potential conflicts of interest, such as the identities of the parties and the amounts involved, through its ProxyExchange platform, while Glass Lewis states that its disclosures appear on the front cover of the report with its proxy voting advice. *See* ISS, FAQS REGARDING RECENT GUIDANCE FROM THE U.S. SECURITIES AND EXCHANGE COMMISSION REGARDING PROXY VOTING RESPONSIBILITIES OF INVESTMENT ADVISERS (2019) ("ISS FAQs"), *available at* https://www.issgovernance.com/file/faq/ISS_Guidance_FAQ_Document.pdf. *See also* Proposing Release at 66527, n. 90; letter from Glass Lewis II.

[214] *See supra* note 200 and Proposing Release at 66544 n.226.

we believe that the absence of a disclosure requirement specifically contemplating the conflicts of interest that can arise for proxy voting advice businesses in relation to proxy voting advice means that there has not been a sufficient standard against which clients may assess the quality of the conflicts disclosures they receive. Conditioning the exemptions in Rules 14a-2(b)(1) and (3) for proxy voting advice on the proxy voting advice business's adherence to a set of minimum, principles-based disclosure standards will make clear what constitutes basic information regarding conflicts of interest that all parties can expect when receiving voting advice and will bolster the completeness and consistency of such disclosure by making it a regulatory requirement. This should in turn foster greater confidence in the services proxy voting advice businesses offer to their clients and provide greater assurance to market participants that shareholders' interests are being properly considered through a well-functioning proxy system.[215]

To that end, Rule 14a-2(b)(9)(i) sets forth a concise framework that applies to any person providing proxy voting advice within the scope of proposed Rule 14a-1(l)(1)(iii)(A) who wishes to utilize the exemption in either Rule 14a-2(b)(1) or (b)(3). Such persons must include in their voting advice (or in any electronic medium used to deliver the advice) prominent disclosure of:

- Any information regarding an interest, transaction, or relationship[216] of the proxy voting advice business (or its affiliates) that is material to assessing the objectivity of

[215] *See infra* Section IV.A.

[216] Such information may include disclosure about certain business practices in which the proxy voting advice business engages that might reasonably be expected to call into question its objectivity and the independence of its advice. For example, it may be appropriate in some circumstances under the rule for a proxy voting advice business to disclose its practice of selectively consulting with certain clients before issuing its benchmark voting recommendation on a specific matter (*e.g.*, a contested director election or merger). This may particularly be the case in situations in which the clients with whom the proxy voting advice business consults are not directly involved as a party to the specific matter but are expected to receive proxy voting advice on the matter. Such a practice could allow for those consulted clients' voting preferences to influence recommendations given to other clients that were not consulted and importantly, without the knowledge of those clients not consulted.